

Let us understand things better by using an example:

Insurance Premium Float

Let us consider a random Insurance Company.

Day 1

Let us consider that the company sold approximately 1000 policies costing INR 500 each, and they have to offer protection for one year.



So the insurance company is getting INR 5 lakhs on Day 1. However, the claims will not arise on day 1 itself. The claims will arise gradually all through the year.



500 Rs/each

The company receives a lot of upfront cash. This upfront payment is called float. This cash amount is neither equity nor liability as the company is not paying any type of interest on it. Additionally, the company does not have to pay it back but meet its claims through the year.



Equity



Liability



Float

This is the money the company has received as an advance for offering protection to the policies for the entire year. So the INR 5 Lakhs on Day 1 can be considered a float.